

Overview

Phases

1. Planning & Scoping

2. Information Request

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover

Documents

Requests

Tasks

Issues

Team

Q&A

Settings

Collapse

Acme Company – PE Transaction FDD

On Track

Export Report

Add Widget

Project IDACME-2024-FDD

ClientNorthbridge Capital

TargetAcme Company

Deal TypeBuyout

Start DateApr 15, 2024

Target CloseJun 30, 2024

Overall Progress

1

2

3

4

5

6

Planning & Scoping

Information Request

Data Review & Analysis

Findings & Issues

Reporting

Close & Handover

52% Complete

Projected CompletionJun 28, 2024

5 Weeks Remaining

Phase Progress

1. Planning & Scoping

2. Information Request

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover

Complete

Complete

In Progress

Not Started

Not Started

Not Started

Apr 22, 2024

May 8, 2024

Jun 3, 2024

Jun 10, 2024

Jun 17, 2024

Jun 28, 2024

Key Metrics

Documents

1,248

Requests

312

78% Closed

Open Issues

27

High: 5

Tasks

156

72% Complete

Q&A

48

Open

Recent Activity

Document uploaded: 2024 Financial Statements.xlsx

John Smith · 2h ago

Request #194 closed by Target

Sarah Lee · 4h ago

Issue #27 updated to In Progress

Mike Johnson · 6h ago

New Q&A posted: Revenue Recognition Policy

Emily Chen · 1d ago

Issues by Severity

27 Total

High (5)

Medium (12)

Low (10)

Team Activity

JDJane DoeProject Manager

JSJohn SmithDue Diligence Lead

SLSarah LeeAnalyst

MJMike JohnsonFinance Lead

ECEmily ChenLegal Analyst

18/24

22/28

14/18

16/22

12/16

1Planning & Scoping

Overview

Scope Areas

Work Plan

Team

Milestones

Settings

Phase Overview

Define scope, approach, timeline, and team for the FDD.

Scope Areas

Financial Statements

Quality of Earnings

Working Capital

Debt & Debt-like Items

Tax

Other

+ Add

Milestones

Milestone

Due Date

Status

Kickoff Meeting

Apr 15, 2024

Complete

Scope Finalization

Apr 18, 2024

Complete

Work Plan Approval

Apr 22, 2024

Complete

2Information Request

Overview

Request List

Categories

Upload Center

Reminders

Reports

Request Progress

Total Requests

312

Closed

244

78%

Open

68

22%

Overdue

8

3%

Requests by Category

Category

Total

Closed

Open

Overdue

Progress

Financial Statements

82

70

10

2

85%

Quality of Earnings

64

50

12

2

78%

Working Capital

68

50

16

2

74%

Debt & Debt-like Items

40

32

6

0

80%

Tax

38

28

8

2

74%

Other

20

14

6

0

70%

3Data Review & Analysis

Overview

Documents

Workpapers

Checklists

Analytics

Sampling

Reports

Review Progress

Documents

1,248

Uploaded

Reviewed

842

68%

In Review

312

25%

Pending

94

7%

Recent Documents

Document Name

Category

Uploaded By

Date

Status

2024 Financial Statements.xlsx

Financial Statements

John Smith

May 20, 2024

In Review

Trial Balance - Apr 2024.xlsx

Financial Statements

Sarah Lee

May 16, 2024

In Review

AR Aging Report.xlsx

Working Capital

Mike Johnson

May 18, 2024

Reviewed

Revenue by Customer.xlsx

Quality of Earnings

Emily Chen

May 17, 2024

In Review

Debt Schedule.xlsx

Debt & Debt-like Items

John Smith

May 16, 2024

Reviewed

4Findings & Issues

Overview

Issues Log

Findings

Risks

Action Items

Reports

Issues Summary

Total Issues

27

High

5

Medium

12

Low

10

Closed

8

Top Issues

Issue

Severity

Category

Owner

Status

Due Date

Revenue recognition policy inconsistent

High

Quality of Earnings

Emily Chen

In Progress

Jun 1, 2024

AR balance includes old outstanding items

High

Working Capital

Mike Johnson

Open

May 30, 2024

Add-backs for one-time expenses

Medium

Quality of Earnings

Sarah Lee

In Progress

Jun 3, 2024

Intercompany balances not eliminated

Medium

Financial Statements

John Smith

Open

Jun 2, 2024

Debt covenant calculation methodology

Low

Debt & Debt-like Items

John Smith

Open

Jun 5, 2024

5Reporting

Overview

Draft Report

Sections

Review & Approve

Deliverables

Reports

Report Progress

1

2

3

4

5

Outline Complete

Drafting In Progress

Internal Review Not Started

Client Review Not Started

Final Report Not Started

Report Sections

Section

Owner

Status

Last Updated

Executive Summary

Jane Doe

Complete

May 20, 2024

Financial Overview

John Smith

In Progress

May 21, 2024

Quality of Earnings

Sarah Lee

In Progress

May 21, 2024

Working Capital

Mike Johnson

Not Started

-

Debt & Debt-like Items

John Smith

Not Started

-

Tax

Emily Chen

Not Started

-

Appendices

Emily Chen

Not Started

-

6Close & Handover

Overview

Deliverables

Lessons Learned

Handover

Archive

Close Progress

Deliverables

12 / 12

Complete

Handover Items

18 / 18

Complete

Archive

Complete

Lessons Learned

Complete

Deliverables

Deliverable

Owner

Status

Date Completed

Final FDD Report

Jane Doe

Complete

Jun 25, 2024

Management Letter

Jane Doe

Complete

Jun 25, 2024

Issue Tracker

Mike Johnson

Complete

Jun 25, 2024

Workpapers Index

Sarah Lee

Complete

Jun 25, 2024

Data Room Archive

Emily Chen

Complete

Jun 25, 2024

1. Planning & Scoping

In Progress

52% of Phase Complete

Phase Playbook

Export

Mark Phase Complete

Overview

Scope & Approach

Team & Milestones

Risk Assessment

Work Plan

Deliverables

Phase Overview

Define the transaction, investment thesis, scope, materiality, workstreams, and plan to set up a successful diligence.

Objective

Establish a clear understanding of the transaction and diligence scope, align on key assumptions, identify initial risks, and create the plan to execute.

Key Outputs

Approved diligence scope

Materiality thresholds

Work plan & timeline

Initial risk heat map

Data request list (draft)

Owner

JS John Smith

Due Diligence Lead

Analyst

JD Jane Doe

You

Due Date

Apr 22, 2024

(3 days remaining)

Key Transaction Details

Edit

Target	Acme Company	Locked Box	No
Deal Type	Buyout	Target Close	Jun 30, 2024
Enterprise Value	\$250,000,000	Debt Financing	\$150,000,000
EV / LTM EBITDA	10.0x	Equity Contribution	\$100,000,000
Transaction Type	Equity Purchase	Management Rollover	15%
Cash-Free / Debt-Free	Yes	Seller Note / Earnout	\$10,000,000 Seller Note
Working Capital Mechanism	Closing Date Adjustment	Hold Period	5 Years

Investment Thesis & Key Questions

Edit

Investment Thesis	Key Questions FDD Will Answer
Revenue is highly recurring	How much revenue is contractually recurring, what is retention, and what drives churn?
Business has pricing power	Is growth driven by price, volume, mix, acquisitions, or accounting changes?
EBITDA margin can expand	Are current costs sustainable, or are expenses temporarily suppressed?
Company is cash-generative	Does EBITDA convert into operating cash flow after working capital and capex?
Platform can support leverage	What is the downside DSCR, fixed-charge coverage, and liquidity position?
Add-on strategy creates scale	Are financial systems and accounting policies consistent enough to integrate acquisitions?
Management can hit the forecast	How accurate have previous budgets and forecasts been, and is the forecast credible?

Documents & References

Name	Type	Uploaded By	Date
CIM_AcmeCompany.pdf	CIM	John Smith	Apr 11, 2024
LOI_AcmeCompany.pdf	LOI	John Smith	Apr 11, 2024
Management Presentation.pdf	Presentation	John Smith	Apr 11, 2024
Historical Financials (3Y).pdf	Financials	John Smith	Apr 11, 2024

Drag and drop files here

or

Upload Files

Phase Checklist

7 / 10 Completed

70%

Task	Owner	Status	Due Date	
☒ Review CIM and transaction documents	JD	Complete	Apr 12, 2024	
☒ Understand transaction structure & mechanics	JD	Complete	Apr 13, 2024	
☒ Define investment thesis & key questions	JD	Complete	Apr 14, 2024	
☒ Establish diligence scope & period under review	JD	In Progress	Apr 18, 2024	
☒ Set materiality thresholds	JD	In Progress	Apr 18, 2024	
☐ Identify key risk areas	JD	Not Started	Apr 19, 2024	
☐ Build workplan & diligence calendar	JD	Not Started	Apr 20, 2024	
☐ Define workstreams & responsibilities	JS	Not Started	Apr 20, 2024	
☒ Create draft deliverables list	JD	Complete	Apr 15, 2024	
☐ Confirm approach with PE team	JS	Not Started	Apr 22, 2024	

Initial Risk Assessment

Edit

Risk Area	Risk Level	Rationale	Owner
Revenue Concentration	High	Top 5 customers = 62% of revenue	JD
Customer Retention	High	Churn increased in last 2 quarters	JD
Gross Margin Sustainability	Medium	Margin improved significantly vs. prior years	JD
Working Capital Volatility	Medium	Seasonal business with high DSO swings	JD
Underinvestment in Capex	Medium	Aging equipment; maintenance backlog	JD
Accounting / Reporting Quality	Low	Clean audits; no material restatements	JD
Legal / Litigation	Medium	Pending employment matter disclosed	JD
Tax Exposure	Low	No material audit history	JS

Notes

+ New Note

Kickoff call with PE team

Discussed scope, timing, and key areas of focus for FDD...

JD

Apr 15, 2024

Preliminary risk discussion

Elevated risk around customer concentration and churn...

JD

Apr 14, 2024

- Overview
- Phases

1. Planning & Scoping

2. Information Request

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover
- Documents
- Requests
- Tasks
- Issues
- Team
- Q&A
- Settings

Acme Company – FDD

Deal Type

Buyout

Target Close

Jun 30, 2024

Project Progress

52%

View Project Overview

2. Information Request

In Progress

244 / 312 Requests Closed

78% Complete

Export Tracker

Send Reminders

Overview

All Requests

Categories

Upload Center

Reminders

Reports

Total Requests

312

View all requests →

Closed

244

78%

View closed →

Open

48

15%

View open →

Overdue

20

6%

View overdue →

Due This Week

14

View scheduled →

Information Request Summary

Requested By

JD Jane Doe

Analyst

Request Owner (Target)

JS John Smith

Controller

Last Request Sent

May 1, 2024

Last Response Received

May 10, 2024

Average Turnaround Time

4.2 days

Overdue > 7 Days

8 requests

View Summary Report

Requests by Category

Category	Total	Closed	Open	Overdue	Progress
Financial Statements & Reports	82	70	10	2	85%
Quality of Earnings	64	50	12	2	78%
Revenue & Customers	58	48	7	3	83%
Costs & Payroll	44	31	9	4	70%
Balance Sheet & Working Capital	38	26	8	4	68%
Debt & Debt-like Items	28	18	6	4	64%
Tax & Legal	24	16	5	3	67%
Operations & Capex	22	15	5	2	68%
IT & Systems	18	10	6	2	56%
Other / Miscellaneous	14	10	3	1	71%

View all categories →

Request Status

312 Total

Closed

244 (78%)

Open

48 (15%)

Overdue

20 (6%)

Not Due Yet

0 (0%)

View status report →

Open & Overdue Requests

All 68

Open 48

Overdue 20

Due This Week 14

Search requests...

Filters

Download

Request ID	Request	Category	Owner (Target)	Due Date	Days Overdue	Status	Actions
REQ-142	Customer concentration report – top 20 customers by revenue for past 3 years	Revenue & Customers	JS John Smith Controller	Apr 26, 2024	14	Overdue	
REQ-108	Aging of accounts receivable – by customer and total (monthly for last 24 months)	Balance Sheet & Working Capital	JS John Smith Controller	Apr 29, 2024	11	Overdue	
REQ-097	Detail of owner compensation and related-party expenses	Quality of Earnings	JS John Smith Controller	Apr 30, 2024	10	Overdue	
REQ-155	Capex schedule by project – last 3 years and next 2 years	Operations & Capex	JS John Smith Controller	May 1, 2024	9	Overdue	
REQ-074	Debt agreement – revolver and term loan	Debt & Debt-like Items	JS John Smith Controller	May 2, 2024	8	Overdue	

Showing 1 to 5 of 20 overdue requests

View all overdue requests →

Recent Activity

View all

Document uploaded: Revenue by Customer Detail.xlsx

REQ-142 • John Smith • May 10, 2024

Response received for REQ-101

Financial Statements – 2021 Audit Report

May 9, 2024

Reminder sent to John Smith (8 requests)

May 8, 2024

New request added: REQ-189

IT systems and software inventory

May 7, 2024

Response received for REQ-095

Payroll registers – last 3 years

May 6, 2024

Upload Center

Drag and drop files here

or

Choose Files

Accepted formats: .pdf, .xlsx, .xls, .csv, .docx, .zip

Go to Upload Center →

- Overview
- Phases
1. Planning & Scoping

2. Information Request

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover
- Documents
- Requests
- Tasks
- Issues
- Team
- Q&A
- Settings

Acme Company – FDD

Deal Type

Buyout

Target Close

Jun 30, 2024

Project Progress

52%

View Project Overview

3. Data Review & Analysis

In Progress

41% Complete

6 / 12 Workstreams Complete

Export

Add Workstream

- Overview
- Financial Overview
- Income Statement
- Balance Sheet
- Cash Flow
- Revenue Analysis
- Costs & Expenses
- QoE Adjustments
- Data Quality
- Reports

Workstream Progress

Financial Overview

100%

Complete

Last updated May 10, 2024

Income Statement

75%

In Progress

Last updated May 12, 2024

Balance Sheet

60%

In Progress

Last updated May 11, 2024

Cash Flow

40%

In Progress

Last updated May 9, 2024

Revenue Analysis

50%

In Progress

Last updated May 12, 2024

Costs & Expenses

35%

In Progress

Last updated May 8, 2024

QoE Adjustments

30%

In Progress

Last updated May 12, 2024

Data Quality

80%

In Progress

Last updated May 12, 2024

Data Quality Score

78

Good

23 Issues Identified

View Data Quality Report

Completeness

82%

Accuracy

75%

Timeliness

80%

Consistency

74%

Reconciliations

79%

Historical Financial Summary (LTM)

(\$ in thousands)	May 2023	May 2024	YoY %
Revenue	\$250,432	\$297,113	18.6%
Gross Profit	\$102,134	\$116,091	13.7%
Gross Margin	40.8%	39.1%	(1.7%)
EBITDA	\$46,215	\$54,672	13.4%
EBITDA Margin	19.3%	18.4%	(0.9%)
Net Income	\$27,842	\$31,384	12.7%
Operating Cash Flow	\$38,102	\$39,876	4.7%
Capex	(\$9,812)	(\$10,945)	11.5%
Free Cash Flow	\$28,290	\$28,931	2.3%

View Full Financial Overview

Revenue Trend



View Income Statement Analysis

Balance Sheet Snapshot (as of May 31, 2024)

Assets		Liabilities & Equity	
Cash & Cash Equivalents	\$18,742	Accounts Payable	\$32,541
Accounts Receivable	\$72,118	Accrued Expenses	\$16,872
Inventory	\$45,226	Deferred Revenue	\$9,643
Prepaid Expenses	\$4,892	Other Current Liabilities	\$4,215
Other Current Assets	\$6,784	Total Current Liabilities	\$63,271
Total Current Assets	\$147,862	Long-Term Debt	\$78,250
Property, Plant & Equipment	\$63,175	Other Liabilities	\$11,842
Other Assets	\$12,403	Total Equity	\$70,077
Total Assets	\$223,440	Total Liabilities & Equity	\$223,440

View Balance Sheet Analysis

Key Ratio Trends

Metric	May 2023	May 2024	YoY Change	Trend (12M)
Gross Margin	40.8%	39.1%	(170 bps)	
EBITDA Margin	19.3%	18.4%	(90 bps)	
DSO (Days)	41	55	+14 days	
DIO (Days)	69	89	+20 days	
DPO (Days)	48	52	+4 days	
Cash Conversion Cycle	62	92	+30 days	
Inventory Turns (x)	5.3x	4.1x	(1.2x)	
Capex % of Revenue	3.6%	3.7%	+10 bps	

View Ratio Analysis

Top Data Quality Issues

Issue	Severity	Impact	Status
Unreconciled inventory variance (GL vs detail)	High	\$1,482k	Open
AR detail does not reconcile to GL	High	\$862k	Open
Missing AP aging for Vendor X	Medium	—	In Progress
Payroll detail missing contractors	Medium	\$312k	Open
Depreciation schedule does not tie to FA rollover	Low	\$45k	In Progress

Go to Data Quality

Recent Activity

- QoE adjustment "Owner Compensation" updated
Jane Doe
2h ago
- Uploaded: May 2024 TB and GL Detail
John Smith
3h ago
- Reconciliation completed: AR Detail to GL
Sarah Lee
5h ago
- New issue created: Unreconciled inventory variance
Mike Johnson
6h ago
- Workstream "Income Statement" progress updated to 75%
Jane Doe
1d ago

Key Insights

- Revenue grew 18.6% YoY in LTM, driven by new customer acquisition and price increases.
- Gross margin declined 220 bps YoY due to higher freight and material costs.
- Operating expenses increased 14.2% YoY, largely driven by headcount growth.
- DSO increased from 41 to 55 days over the last 12 months.
- Inventory turns declined to 4.1x vs 5.3x prior year.

Documents

Name	Category	Uploaded	By
May 2024 Trial Balance.xlsx	Financials	May 12, 2024	JD
General Ledger Detail_May 2024.xlsx	Financials	May 12, 2024	JD
AR Detail_Through May.xlsx	Revenue	May 11, 2024	SL
Inventory Detail_May 2024.xlsx	Balance Sheet	May 10, 2024	MJ
AP Aging_May 2024.xlsx	Balance Sheet	May 10, 2024	JS

Notes & Comments

All Notes (8)

My Notes (3)

Action Items (4)

Add a note... use @ to mention someone

Add Note

- JD

Jane Doe
May 12, 2024 11:30 AM
Investigating revenue cut-off around 5/31. Several invoices dated 6/2 but recorded in May.
Revenue Analysis
- SL

Sarah Lee
May 11, 2024 4:15 PM
AR aging looks reasonable. Will roll forward collections to confirm.
Balance Sheet
- MJ

Mike Johnson
May 10, 2024 2:45 PM
Need vendor confirmations for top 10 AP balances.
Balance Sheet

View all notes

4. Findings & Issues

In Progress

34 / 56 Issues Closed 61% Complete

Export

New Issue

OverviewIssue LogFindingsRisksAction ItemsPurchase Agreement ItemsManagement ResponsesReports

Total Issues

56

View all issues

By Severity

High12

Medium19

Low16

Info9

Open Issues

22

View open issues

Closed Issues

34

61%

View closed issues

Risk Exposure (Potential Impact)

\$5.87M

View risk heat map

Issues by Severity



View issue log

Issues Over Time



Open Issues

All 22	High 5	Medium 9	Low 5	Info 3	All Workstreams ▾		Filters	
ID	Issue	Workstream	Severity	Potential Impact	Owner	Status	Due Date	Age (Days)
ISS-042	Unreconciled inventory variance (GL vs detail)	Balance Sheet	High	\$1.482M	Jane Doe	Open	May 17, 2024	7
ISS-038	AR detail does not reconcile to GL	Balance Sheet	High	\$862K	Sarah Lee	Open	May 15, 2024	9
ISS-031	AP aging incomplete - Vendor X	Balance Sheet	Medium	\$612K	Mike Johnson	In Progress	May 20, 2024	6
ISS-029	Payroll detail missing contractors	Costs & Expenses	Medium	\$312K	Emily Chen	Open	May 16, 2024	8
ISS-026	Warranty reserve seems understated	Costs & Expenses	Medium	\$298K	Jane Doe	In Progress	May 22, 2024	5
ISS-018	Deferred revenue aging not provided	Balance Sheet	Low	\$175K	Sarah Lee	Open	May 21, 2024	6
ISS-016	Capex classification inconsistent	Cash Flow	Low	\$120K	Mike Johnson	In Progress	May 23, 2024	4

View all open issues

1-7 of 22

123→

ISS-042 Unreconciled inventory variance (GL vs detail)

Edit

Workstream	Severity	Status	Owner	Due Date
Balance Sheet	High	Open	Jane Doe	May 17, 2024
Age	Potential Impact			
7 days	\$1.482M			

Description

Physical inventory detail provided by management does not reconcile to GL inventory balance. Variance fluctuates monthly between \$1.2M - \$1.6M over the last 6 months.

Root Cause (Preliminary)

Potential misclassification and timing differences in inventory adjustments.

Management Response

Management is reviewing the variance and will provide reconciling items by May 15.

Received May 10, 2024

Next Steps

- ☐ Obtain inventory subledger export
- ☐ Review reconciling items by category
- ☐ Recalculate variance
- ☐ Confirm treatment in NWC definition

Linked Documents (3)

View all

- Inventory_Detail_May2024.xlsx
- Inventory_Reconciliation_Working.xlsx
- Inventory_Policy.pdf

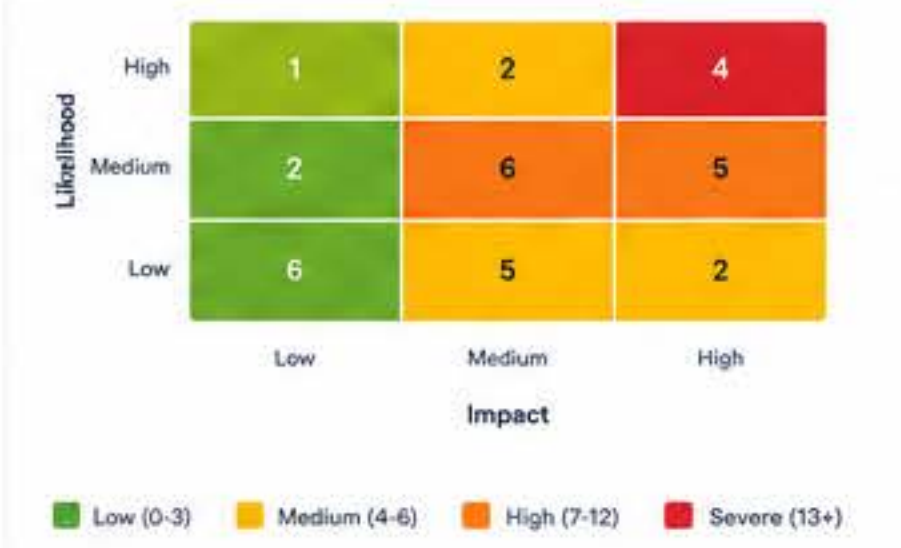
Issue Summary (Top 5 by Risk Exposure)

View all

Issue	Severity	Potential Impact	Status
Unreconciled inventory variance (GL vs detail)	High	\$1.482M	Open
AR detail does not reconcile to GL	High	\$862K	Open
AP aging incomplete - Vendor X	Medium	\$612K	In Progress
Payroll detail missing contractors	Medium	\$312K	Open
Warranty reserve seems understated	Medium	\$298K	In Progress

Risk Heat Map

View full map



Actions Required

View all

Management responses pending	8
Documents needed	12
Follow ups due	7
Overdue actions	3
Purchase agreement items	5

- Overview
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Acme Company – FDD

Deal Type

Buyout

Target Close

Jun 30, 2024

Project Progress

52%

View Project Overview

5. Reporting

In Progress

60% Complete 7 / 12 Sections Complete

Export

Review & Share

Executive Summary QoE Bridge Financial Analysis NWC & Debt Findings Summary Deal Implications Recommendations Appendices

Report Status



7 Sections Complete
3 In Progress
2 Not Started

View section progress →

Key Headline Metrics (Underwritten)

\$32.4M

Adjusted EBITDA (LTM)
(-\$1.6M vs Seller)

\$30.8M

Sustainable EBITDA
(-\$3.2M vs Seller)

3.6x

Net Leverage
(-0.4x vs Initial)

1.9x

Interest Coverage
(-0.3x vs Initial)

View full financial summary →

Key Adjustments (QoE Impact)

\$ in thousands

Seller Reported EBITDA	\$34,000
Total Add-backs	+\$3,100
Total Deductions	(\$4,700)
Adjusted EBITDA	\$32,400
% Change vs Seller	-4.7%

View QoE Bridge →

Report Sections

Edit Order

Section	Status	Complete
✓ 1. Executive Summary	Complete	100%
✓ 2. Quality of Earnings	Complete	100%
● 3. Financial Analysis	In Progress	60%
● 4. Net Working Capital	In Progress	70%
● 5. Debt & Debt-like Items	In Progress	50%
✓ 6. Cash Flow & Capex	Complete	100%
● 7. Forecast Assessment	In Progress	60%
○ 8. Risk Assessment	Not Started	0%
○ 9. Deal & SPA Considerations	Not Started	0%
○ 10. Appendices	Not Started	0%
✓ 11. Data Limitations	Complete	100%
✓ 12. Glossary	Complete	100%

View all sections →

Report Actions

- Internal Review

Request review from team
- Share Draft

Share with stakeholders
- Generate IC Memo

Create investment committee memo
- Compare to Initial Model

See impact to leverage & returns

Executive Summary

Our financial due diligence of Acme Company was performed over three fiscal years ended Apr 30, 2024 and YTD May 12, 2024. We have completed analysis across all material areas and identified adjustments and risks that impact the sustainability of earnings, cash flow, working capital, and overall enterprise value.

- Earnings Quality:** Adjusted EBITDA reduces by \$1.6M (4.7%) from seller reported, primarily due to owner compensation (\$0.8M), unrecorded bonus accruals (\$0.6M), and normalization of bad debt (\$0.4M).
- Revenue Quality:** Revenue is recurring (67%), with strong gross revenue retention (91%) and moderate customer concentration (Top 5 = 42% of revenue).
- Cash Flow:** Cash conversion is 72% over LTM. Working capital investment and maintenance capex requirements are normalized in our cash flow projections.
- Working Capital:** We recommend a peg of \$8.45M based on TTM average, representing 10.6% of LTM revenue.
- Debt & Debt-like Items:** Estimated net debt and debt-like items total \$42.6M, including \$1.2M of unpaid transaction fees and \$0.9M of earnout obligations from prior acquisition.
- Risks:** Key risks include inventory valuation (High), AR aging (Medium), and customer concentration (High). See Findings Summary for details.
- Impact to Returns:** Underwritten leverage is 3.6x net debt / EBITDA. Base case IRR reduces by 120 bps to 23.1%.

Please refer to the detailed sections of this report for full analysis and recommendations.

Findings by Area

Area	High	Medium	Low	Info	Total	Impact
Revenue & Customers	2	3	1	2	8	High
Cost of Sales / Margins	1	2	2	1	6	Medium
Operating Expenses	1	3	2	3	9	Medium
Working Capital	2	2	1	1	6	High
Balance Sheet	3	4	2	1	10	High
Cash Flow / Capex	1	2	1	2	6	Medium
Tax	0	1	1	1	3	Low
Other / Legal & Contingent	1	2	0	2	5	Medium

View full findings summary →

Key Charts & Tables

QoE Bridge (LTM)

\$ in thousands



View QoE Bridge →

Revenue by Type (LTM)



View Revenue Analysis →

Net Working Capital Trend

\$ in thousands



View NWC Analysis →

Net Debt & Debt-like Summary

\$ in thousands



View Debt Summary →

Open Items in Report

Item	Related Section	Owner	Due Date	Status
Confirm inventory obsolescence reserve with mgmt	4. Net Working Capital	Jane Doe	May 15, 2024	In Progress
Obtain legal letter re: contingent litigation	8. Risk Assessment	Sarah Lee	May 16, 2024	Open
Verify earnout calculation from prior acquisition	5. Debt & Debt-like Items	Mike Johnson	May 17, 2024	Open

View all open items →

Next Steps

- ✓ Complete quantitative analysis
- ✓ Document findings and supporting evidence
- Finalize report sections and narratives
- Internal peer review
- Submit final report for IC

Target Report Delivery
May 24, 2024

Days Remaining
12

May 2024

S	M	T	W	T	F	S
			1	2	3	4
5	6	7	8	9	10	11
12	13	14	15	16	17	18
19	20	21	22	23	24	25
26	27	28	29	30	31	

- Overview
- Phases

1. Planning & Scoping

2. Information Request

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover
- Documents
- Requests
- Tasks
- Issues
- Team
- Q&A
- Settings

Acme Company – FDD

Deal Type

Buyout

Target Close

May 31, 2024

Project Progress

66%

View Project Overview

6. Close & Handover

In Progress

66% Complete

5 / 10 Steps Complete

Export

Mark Phase Complete

- Closing Review
- Purchase Price Adjustments
- Deliverables & Handover
- Post-Close Validation
- Lessons Learned

Closing Checklist

5 / 10 Completed

50%

Step	Owner	Status	Due Date
☒ Review final closing balance sheet	JD	Complete	May 20, 2024
☒ Recalculate Net Working Capital	JD	Complete	May 22, 2024
☒ Recalculate Cash	JD	Complete	May 22, 2024
☒ Recalculate Debt & Debt-like Items	SL	Complete	May 22, 2024
☒ Review transaction expenses	JD	In Progress	May 24, 2024
☐ Finalize purchase price adjustment	JD	Not Started	May 24, 2024
☐ Review funds flow / sources & uses	SL	Not Started	May 27, 2024
☐ Confirm representations & warranties review	MJ	Not Started	May 27, 2024
☐ Handover deliverables to internal team	JD	Not Started	May 28, 2024
☐ Post-close validation plan approval	JD	Not Started	May 30, 2024

View all closing tasks

Net Working Capital Summary

View Detail

(\$ in thousands)

Component	Peg (as defined)	Closing Balance	Variance	Status
Accounts Receivable	\$28,450	\$27,980	(\$470)	Within Tolerance
Inventory	\$22,150	\$22,810	\$660	Within Tolerance
Prepays & Other CA	\$3,240	\$3,110	(\$130)	Within Tolerance
Total Current Assets	\$53,840	\$53,900	\$60	
Accounts Payable	(\$18,760)	(\$19,050)	(\$290)	Within Tolerance
Accrued Expenses	(\$6,230)	(\$6,150)	\$80	Within Tolerance
Deferred Revenue	(\$7,920)	(\$8,100)	(\$180)	Within Tolerance
Total Current Liabilities	(\$32,910)	(\$33,300)	(\$390)	
Net Working Capital	\$20,930	\$20,600	(\$330)	

Deliverables & Handover

8 / 10 Delivered

Deliverable	Description	Owner	Status	Delivered On
Final FDD Report	Final report with all analyses and findings	JD	Delivered	May 23, 2024
Adjustment Schedules	QoE, NWC, and Debt-like adjustment schedules	JD	Delivered	May 23, 2024
IC Memo	Investment committee memorandum	JD	Delivered	May 24, 2024
Closing Statement Support	Analysis supporting closing statement	JD	In Progress	—
Purchase Price Bridge	Final PPB and supporting detail	JD	In Progress	—

View all deliverables

Purchase Price Bridge

View Detail

(\$ in thousands)

Enterprise Value (as of signing)	\$250,000
Plus: Cash	\$18,420
Less: Debt	(\$72,365)
Less: Debt-like Items	(\$6,842)
Subtotal (Pre NWC)	\$189,213
Less: Net Working Capital Adjustment	(\$4,125)
Equity Purchase Price	\$185,088
Change vs. Signing	(\$1,912)
% Change	-1.02%

View purchase price adjustment detail

Debt & Debt-like Items Summary

View Detail

(\$ in thousands)

Item	Amount
Revolver (Bank A)	\$35,000
Term Loan (Bank A)	\$28,500
Equipment Financing	\$4,200
Finance Leases	\$2,115
Total Debt	\$69,815
Debt-like Items	
Unpaid Transaction Fees	\$1,250
Change of Control Bonus	\$2,800
Accrued Interest	\$992
Other Liabilities / Payables	\$1,800
Total Debt-like Items	\$6,842
Total Debt & Debt-like Items	\$76,657

Next Steps / Post-Close

Task	Owner	Target Date	Status
☒ Develop 100-Day Plan	JD	Jun 14, 2024	In Progress
☐ Establish KPI Tracking	SL	Jun 14, 2024	Not Started
☐ Post-Close Validation (30-Day)	JD	Jun 30, 2024	Not Started
☐ Post-Close Validation (90-Day)	JD	Aug 29, 2024	Not Started
☐ Lessons Learned Session	JD	Aug 29, 2024	Not Started

View post-close validation plan

Key Closing Dates

View calendar

Signing Date	May 10, 2024	Completed
Target Close	May 31, 2024	8 days remaining
Long Stop Date	Jun 30, 2024	30 days remaining
First Funds Available	Jun 3, 2024	11 days remaining

Open Items Before Close

View all

Confirm inventory obsolete reserve with management	High
Obtain payoff letters for equipment financing	Medium
Legal review of customer contract change of control clauses	Medium
Confirm tax clearance certificates	Low

View all open items

Funds Flow Summary

View Detail

(\$ in thousands)

Seller Proceeds	\$185,088
Less: Payoff Debt	(\$69,815)
Less: Transaction Expenses	(\$3,450)
Less: Taxes & Other Withholdings	(\$2,250)
Less: Seller Fees	(\$1,200)
Net to Seller	\$108,373

- Overview
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1. Planning & Scoping

2. Information Requests

3. Data Review & Analysis

4. Findings & Issues

5. Reporting

6. Close & Handover
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- Issues
- Workpapers
- Reports
- Analytics
- Team
- Q&A
- Settings

Acme Company – FDD

Deal Type

Buyout

Target Close

May 31, 2024

Project Progress

66%

View Project Overview

Total Documents
1,248
+24 this week

Reviewed
842
67%

Awaiting Review
286
23%

Issues Flagged
47
3.8%

AI Processed
1,102
88%

Missing Documents
12
View missing →

Search folders...

All Documents1,248

01. Financial Statements142

Annual Financials18

Monthly Financials48

Trial Balances36

General Ledger25

Chart of Accounts15

02. Revenue96

03. Balance Sheet186

04. Payroll74

05. Tax89

06. Banking42

07. Legal63

08. Quality of Earnings114

09. Working Capital101

10. Debt & Debt-Like58

11. Reports37

12. Workpapers102

13. Deliverables44

Upload

New Folder

All Categories

Filters

Search documents in this folder...

Document Name	Category	Period	Status	Owner	Last Updated	
Trial Balance FY24.xlsx 2.4 MB	Financials	FY24	Reviewed	Jane Doe	Today, 10:42 AM	
Income Statement FY24.pdf 1.1 MB	Financials	FY24	Reviewed	Jane Doe	Today, 9:15 AM	
Revenue by Customer.xlsx 3.8 MB	Revenue	May 2024	Under Review	Mike Smith	Yesterday, 5:22 PM	
AR Aging Detail.xlsx 1.6 MB	AR	May 2024	Pending	Sarah Lee	Yesterday, 3:47 PM	
Customer Contract - ABC Corp.pdf 2.2 MB	Revenue	2023-2026	Reviewed	Mike Smith	May 10, 2024	
Payroll Register May 2024.xlsx 5.5 MB	Payroll	May 2024	Reviewed	Sarah Lee	May 10, 2024	
Bank Statements April 2024.pdf 4.1 MB	Banking	Apr 2024	Reviewed	Jane Doe	May 9, 2024	
Inventory Aging May 2024.xlsx 2.0 MB	Inventory	May 2024	Under Review	Mike Smith	May 9, 2024	
Fixed Assets --	Balance Sheet	--	--	--	May 8, 2024	
Debt Schedule.xlsx 1.2 MB	Debt	May 2024	Reviewed	Jane Doe	May 8, 2024	
AP Detail May 2024.xlsx 1.7 MB	AP	May 2024	Pending	Sarah Lee	May 7, 2024	
Tax Returns 2021-2023.pdf 6.3 MB	Tax	2021-2023	Reviewed	Mike Smith	May 7, 2024	

Showing 1 to 12 of 1,248 documents

1

2

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4

5

...

104

Trial Balance FY24.xlsx

Preview

Details

Activity

Versions

Linked

Download

Share

100%

...

	A	B	C	D	E
1	Account Code	Account Name	Apr-24	May-24	YTD May-24
2	1000	Cash	\$8,421,234	\$7,842,123	\$7,842,123
3	1100	Accounts Receivable	\$12,342,654	\$12,879,654	\$59,302,145
4	1200	Inventory	\$8,765,432	\$9,123,876	\$43,210,987
5	1300	Prepaid Expenses	\$560,123	\$603,221	\$1,234,567
6	Total Current Assets		\$30,089,443	\$30,448,874	\$111,589,822
7	2000	Property & Equipment	\$22,345,678	\$22,120,456	\$22,120,456
8	2100	Accumulated Depreciation	(\$9,876,543)	(\$10,102,345)	(\$10,102,345)
9	Net Fixed Assets		\$12,469,135	\$12,018,111	\$12,018,111
10	TOTAL ASSETS		\$42,558,578	\$42,466,985	\$123,607,933

Document Information

Uploaded By

Jane Doe

Period Covered

Apr 2023 – May 2024

Upload Date

May 12, 2024 10:42 AM

Entity

Acme Company

File Type

Microsoft Excel (.xlsx)

Business Unit

Consolidated

File Size

2.4 MB

Confidence Score

High

AI Insights

This appears to be a complete trial balance with 346 accounts.

Reconciles to financial statements for May 2024.

No unusual fluctuations detected in top 20 balance sheet accounts.

Potential mapping to 98% of canonical chart of accounts.

Linked To

Balance Sheet

Income Statement

Cash Flow

NWC Analysis

QoE

Tags

Trial Balance

Financials

May 2024

GL

Reviewed

+

- Overview
- Phases
1. Planning & Scoping
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3. Data Review & Analysis
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Acme Company – FDD

Deal Type

Buyout

Target Close

May 31, 2024

Project Progress

66%

View Project Overview

Total Workpapers326+18 this week

Completed19861%

In Progress8426%

Not Started4413%

Issues Linked23View issues →

+ New Workpaper

All WorkpapersBy AreaBy OwnerBy StatusBy Workstream

Search workpapers...All WorkstreamsAll AreasAll StatusesAll OwnersFiltersSave View

ID	Workpaper Name	Area	Workstream	Owner	Status	Last Updated	Linked To
NWC-01	Net Working Capital Rollforward	Working Capital	Data Review	JD Jane Doe	Completed	May 12, 2024 10:42 AM	321
REV-03	Revenue Trend Analysis	Revenue	Analysis	MS Mike Smith	In Progress	May 12, 2024 9:15 AM	210
QE-07	Owner Compensation Analysis	Quality of Earnings	Analysis	SL Sarah Lee	Completed	May 11, 2024 4:32 PM	412
AR-02	AR Aging Rollforward	Accounts Receivable	Data Review	SL Sarah Lee	In Progress	May 11, 2024 2:05 PM	201
INV-05	Inventory Analysis & Turns	Inventory	Analysis	MJ Mike Johnson	Not Started	May 10, 2024	000
CF-04	Cash Flow Bridge	Cash Flow	Analysis	JD Jane Doe	Completed	May 10, 2024 11:10 AM	311
DEBT-01	Debt Schedule Analysis	Debt	Data Review	MS Mike Smith	In Progress	May 10, 2024 10:02 AM	210
TAX-02	Tax Rate Reconciliation	Tax	Analysis	EC Emily Chen	Completed	May 9, 2024 3:45 PM	210
REV-05	Customer Concentration Analysis	Revenue	Analysis	JD Jane Doe	In Progress	May 9, 2024 1:22 PM	111
LEASE-01	Operating Lease Schedule	Other Liabilities	Data Review	MJ Mike Johnson	Not Started	May 8, 2024	000

Showing 1 to 10 of 326 workpapers12345...3310 per page

Workpapers with Issues23View all

Avg. Review Time2.4 daysThis month

Prepared by Analysts78%This month

Reused from Library41%This month

Automation Coverage62%This month

NWC-01Net Working Capital RollforwardCompleted

OverviewContentLinksActivityVersions

Workpaper SummaryEdit

PurposeReconcile and analyze changes in Net Working Capital over the period.

Prepared ByJane Doe

Date PreparedMay 10, 2024

Reviewed ByMike Smith

Date ReviewedMay 12, 2024

Period CoveredApr 2023 – Apr 2024

Latest Versionv1.2

TemplateNWC Rollforward Template

File Location/Workpapers/Working Capital/NWC-01.xlsx

DescriptionReconciles changes in current assets and current liabilities to net working capital movement. Includes driver analysis.

Linked Items

Documents3 linked documents

Issues2 linked issues

Requests1 linked request

Reports1 linked report

Workpaper Checklist8 / 8 Complete

TB balances tie to source

Rollforward mathematically correct

Variances explained

Supporting schedules attached

Reviewed by manager

View checklist

Reports

Create, manage, and view diligence reports and deliverables.

Search reports, sections, metrics...

K

?

3

JD

Jane Doe
Analyst

+ New Report



All ReportsMy ReportsShared with MeTemplates

Search reports...

All Types

All Statuses

All Owners

Filters

Sort by: Last Updated

Report Name	Type	Owner	Status	Last Updated	Sections	Linked To
Executive Summary High level overview of findings and conclusions	Deliverable	JD Jane Doe	In Review	May 12, 2024 10:42 AM	8 / 10	1275
Quality of Earnings Report Analysis of earnings adjustments and normalization	Analysis	MS Mike Smith	In Progress	May 12, 2024 9:15 AM	12 / 18	1598
Financial Analysis Historical and projected financial performance	Analysis	SL Sarah Lee	In Progress	May 11, 2024 4:32 PM	14 / 20	1063
Net Working Capital Analysis NWC rollforward and key drivers	Analysis	EC Emily Chen	Draft	May 11, 2024 2:05 PM	6 / 12	842
Debt & Debt-Like Items Report Summary of debt and off balance sheet obligations	Analysis	MJ Mike Johnson	In Review	May 10, 2024 11:10 AM	9 / 14	1154
Findings & Issues Summary Summary of key findings and management responses	Deliverable	JD Jane Doe	Draft	May 10, 2024 10:02 AM	5 / 10	201312
Management Response Summary Summary of management responses to findings	Deliverable	MS Mike Smith	Draft	May 9, 2024 3:45 PM	3 / 8	1386
Valuation Support Key metrics and valuation considerations	Analysis	JD Jane Doe	In Progress	May 9, 2024 1:22 PM	7 / 15	951

Showing 1 to 8 of 28 reports

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4

10 per page

Report Templates

View all templates →



Executive Summary

In Review

OverviewSectionsActivityVersionsPermissions

Executive Summary

Key Highlights

- Complete transition to the new system
- Successful completion of all critical tasks
- Exceeded all key performance indicators
- Successful completion of all critical tasks
- Successful completion of all critical tasks
- Successful completion of all critical tasks

Financial Summary

Revenue Growth	12.4%
Adj. EBITDA	\$30.4M
EBITDA Margin	21.8%
Net Working Capital	\$18.5M
Net Debt	\$68.8M

Key Findings

- High 2
- Medium 5
- Low 2

Adjusted EBITDA (\$ millions)



OpenDownloadShareExport

Report Details

Edit

Report Type	Deliverable	Last Modified	May 12, 2024 10:42 AM
Owner	Jane Doe	Period Covered	Apr 2023 – Apr 2024
Status	In Review	Version	v1.3
Created	Apr 20, 2024 by Jane Doe	Location	/Reports/Deliverables

Linked To

View all



Recent Activity

View all

- MS

Mike Smith commented on Section 2.1

May 12, 2024 9:15 AM
- SL

Sarah Lee uploaded NWC-01 workpaper

May 11, 2024 4:32 PM
- JD

Jane Doe updated Section 1.3

May 10, 2024 2:05 PM

